The car got some very bad press. The competition did not make things easier for it either. Maruti slashed the price of its 800 model, putting pressure on TELCO to match the reduction, recalls Kadle. The negative publicity also resulted in an avalanche of booking cancellations and demand for deposit refunds. Within a year of its launch, there was talk about hiving off the newly formed passenger car division. But it was not a matter that was ‘seriously discussed’, as Ratan clarified in an interview.

‘If the situation warrants it—I am not going to sit here and say we will never do it—if it makes sense to the organization, if it makes sense to the business, we will certainly consider it.’

In the meantime, the low production cost of the Indica also surprised Ford Motor Company. Later in 1999, the officials of the American car maker visited Bombay House to hold discussions on the possibility of a collaboration with TELCO on the Indica. Ratan also met Terry de Jonckheere, Ford president, Asia Pacific and Africa, on 28 September 1999 in Dearborn, Michigan.

Kadle, who was in Detroit for another meeting, met him at the city airport while waiting to catch the return flight to New York. Ratan was not happy with the outcome of the meeting, Kadle says. Later, Ratan also met David Snyder, executive director—international business development, on 1 December 2000. Nothing came out of the meetings.

Dipping Fortunes

TELCO’s sharply declining profits created virtual panic. Ratan went into damage control mode. At the AGM in 2000, he told the shareholders that the company’s focus would be to ‘reduce costs and increase margins’ and ‘establish a partnership or an alliance with one or more global carmakers’ to ‘enable the company to offer a wider product range to its customers and better address the domestic market’.

Pursuing this policy, TELCO joined hands with Daimler-Chrysler to form a ‘consortium to bid for an order of 60,000 light commercial vehicles from the South African government’. In an effort to cut costs and focus on the manufacturing of cars, it also spun off its three divisions—machine tool and growth, heavy-duty axle and heavy-duty transmission—into fully owned subsidiaries.